# FINANCIAL SCENARIO: CHEQUE BOUNCE (SECTION 138 NEGOTIABLE INSTRUMENTS ACT

FACTUAL MATRIX & DISPUTE: A debtor or business partner issues a signed cheque of Rs 10 Lakhs towards repayment of a friendly loan, goods supplied, or commercial services. The cheque bounces upon presentation with bank remarks 'Funds Insufficient' or 'Account Closed'.

LEGAL STANDING & WHO IS IN THE RIGHT: The payee (creditor) is legally in the right. The drawer is criminally liable under the NI Act.

STATUTORY TIMELINE & PROCEDURE UNDER SECTION 138 NI ACT:

1. Step 1: Cheque Presentation: Cheque must be presented within validity period (3 months from date of issue).
2. Step 2: Statutory Legal Notice: Upon receipt of Bank Return Memo, payee must issue a formal Legal Demand Notice in writing to drawer within 30 days.
3. Step 3: 15-Day Cure Period: The notice must demand payment within 15 days of receipt of notice.
4. Step 4: Criminal Complaint (Section 142 NI Act): If drawer fails to pay within 15 days, cause of action arises on 16th day. Complaint must be filed within 30 days before Judicial Magistrate having jurisdiction where payee maintains bank account.
5. Section 138 Penalties: Imprisonment up to 2 years, or fine up to twice the cheque amount, or both.
6. Section 143A NI Act: Court can order drawer to deposit Interim Compensation up to 20% of the cheque amount during trial.
7. Presumptions under Sections 118 & 139 NI Act: Law presumes cheque was issued for discharge of a legally enforceable debt (rebuttable presumption).
8. Landmark Precedents:

- Dashrath Rupsingh Rathod v. State of Maharashtra (2014) & 2015 NI Act Amendment: Jurisdiction lies where payee's bank account is maintained.
- Bir Singh v. Mukesh Kumar (2019) Supreme Court: Even if cheque details are filled by another person, signed cheque attracts Section 139 presumption.

# FINANCIAL SCENARIO: BUSINESS FRAUD, CHEATING & RECOVERY OF MONEY

FACTUAL MATRIX & DISPUTE: A party induces an investor or merchant to transfer funds based on false representations of high returns or delivery of goods, then absconds or refuses to repay, claiming it is merely a civil breach of contract.

LEGAL STANDING & STATUTORY INGREDIENTS:

1. Cheating vs Breach of Contract:

- Mere breach of contract: Remediable civilly under Section 73 Indian Contract Act 1872.
- Criminal Cheating (Section 420 IPC / Section 318(4) BNS): Arises when dishonest intention (mens rea) existed AT THE VERY INCEPTION of the transaction (Hridaya Ranjan Prasad Verma v. State of Bihar, Supreme Court).

2. Section 405 & 406 IPC / Section 316 BNS: Criminal Breach of Trust. Misappropriation of property entrusted to a person.

3. Civil Remedies for Money Recovery:

- Order XXXVII Civil Procedure Code, 1908: Summary Suit for recovery of debt based on written contract, bill of exchange, or promissory note.
- Commercial Courts Act, 2015: Commercial suit with pre-institution mandatory mediation.
- Order XXXVIII Rule 5 CPC: Attachment before judgment of defendant’s property to prevent siphon off of assets.

# FINANCIAL SCENARIO: CYBER FRAUD, OTP THEFT & IDENTITY IMPERSONATION

FACTUAL MATRIX & DISPUTE: An online scammer calls posing as bank customer service, steals OTP, and siphons funds via UPI, or creates a duplicate social media profile to extort money from friends.

LEGAL STANDING & STATUTORY PROVISIONS:

1. Information Technology Act, 2000:
- Section 66C: Identity theft by fraudulently making use of electronic signature, password, or unique identification feature.
- Section 66D: Cheating by personation by using computer resource. Punishment up to 3 years and fine.

2. Indian Penal Code & BNS:
- Section 419 IPC / Section 319 BNS: Cheating by personation.
- Section 420 IPC / Section 318(4) BNS: Cheating and dishonestly inducing delivery of property.

3. Immediate Action Plan (Golden Hour Protocol):
- Dial 1930 (National Cyber Crime Helpline) or lodge complaint on cybercrime.gov.in within golden hour to freeze fraudulent bank accounts.
- RBI Circular on Zero Liability of Customer (2017): Customer liability is ZERO if unauthorized transaction occurs due to third-party breach and customer notifies bank within 3 working days.